When I started earning, I never understood why I had to pay the government a part of my salary. I worked hard for it, experienced stress, developed acidity, and yet, I still had to pay the government money.

I don't think most people ever make peace with paying taxes, but we have to pay them; nonetheless, that is not in our control. But what we can do about it is engage in tax planning. So that the amount we pay towards our taxes is reduced.

Now, there are two main types of taxes:

Direct Taxes

These taxes are taken directly from your income. So, no matter how you plan to spend your money, a portion of what you earn or own goes to the government. Examples of direct taxes are Income Tax and Wealth Tax (abolished in 1985).

Indirect Taxes

Whenever you buy something - be it a product or a service - there's a tax included. In India, it's called GST (Goods and Services Tax). So, it doesn't matter how much you make; if you buy stuff, you're paying indirect taxes.

Now, from a financial planning point of view, we can't do much about indirect taxes. But when it comes to direct taxes, there are lots of ways to save taxes through deductions and exemptions which we will discuss in this chapter.

But before that let's briefly revisit how taxation works in India. Chances are you know the basics but let's go through them again!

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